



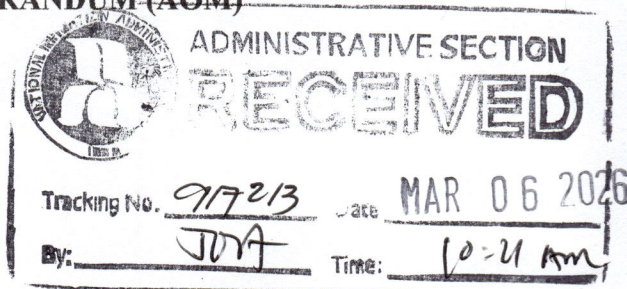
Republic of the Philippines
COMMISSION ON AUDIT
CGAS Cluster 5B – Agriculture and Natural Resources, Team R5-05
Office of the Audit Team Leader
National Irrigation Administration Regional Office No. V
Panganiban Drive, Naga City

AOM No. NIA-ROV.CS.CN IMO-2026-05(2025)

Date: March 3, 2026

AUDIT OBSERVATION MEMORANDUM (AOM)

For: **Engr. GAUDENCIO JOHN M. DE VERA**
Regional Manager
NIA Regional Office No. V
Panganiban Drive, Naga City



Attention: **Mr. JOSEPH A. REBADULLA**
Division Manager - AFD

Ms. JISELLE E. ALBIA
Chief Corporate Accountant B

Senior Bookkeepers
All IMOs

Subject: Unremitted Statutory Obligations to the BIR, GSIS, PHIC, and HDMF

We have audited the consolidated Due to BIR, Due to GSIS, Due to Pag-IBIG, and Due to PhilHealth accounts of the National Irrigation Administration RIO and component IMOs as of December 31, 2025, and observed the following deficiencies:

1. The accounts Due to BIR, GSIS, Pag-IBIG, and PhilHealth have remaining unremitted balances of ₱4,926,676.11, ₱1,073,790.78, ₱107,548.21, and ₱158,865.35, respectively, after year-end, contrary to existing rules and regulations, thus, depriving the said agencies of the full and immediate use of their funds and exposing NIA to possible penalty and interest for non-/late remittance of withholding taxes and premium contributions.
2. This has been a perennial audit observation which requires immediate and faithful action by the Accounting and other offices involved.
3. Revenue Regulation (RR) No. 11-2018 dated January 31, 2018 provides that:

The withholding return covering creditable and final withholding taxes must be filed not later than the last day of the month following the close of the quarter during which the withholding was made, for quarterly remittances, and every

tenth (10th) day of the following month when the withholding is made, regardless of the amount withheld, for monthly remittances.

4. Sections 5.c and 6.b. of RA No. 8291, otherwise known as “the Government Service Insurance System Act of 1997”, also provide that:

It shall be mandatory and compulsory for all employers to include the payment of contributions in their annual appropriations. Penal sanctions shall be imposed upon employers who fail to include the payment of contributions in their annual appropriations or otherwise fail to remit the accurate/exact amount of contributions on time, or delay the remittance of premium contributions to the GSIS. The heads of offices and agencies shall be administratively liable for non-remittance or delayed remittance of premium contributions to the GSIS.

Each employer shall remit directly to the GSIS the employees' and employer's contributions within the first ten (10) days of the calendar month following the month to which the contributions apply. The remittance by the employer of the contribution to the GSIS shall take priority over and above the payment of any and all obligations, except salaries and wages of its employees.

5. On the other hand, Section 3 (a) of RA No. 9679- The Home Development Mutual Fund/Pag-IBIG Fund Law of 2009, states that:

a. *All employers shall remit to the Fund their contributions and the contributions of their covered employees as well as the latter's loan amortizations or payments to the Fund, as provided for under Section 2 of this Rule, when applicable, within fifteen (15) days from the date the same were collected unless another period is previously agreed upon between the employer and the Fund, or within such periods as the Fund may prescribe otherwise...*

b. *Every employer required to set aside and remit such contributions as prescribed under RA No. 9679 and these Rules shall be liable for their payment, and non-payment thereof shall further subject the employer to a penalty of three percent (3%) per month of the amounts payable from the date the contributions fall due until paid. Every employer who actually deducts from the salary of his employee the latter's loan amortization or payments to the Fund, as provided for under these Rules, shall be liable for their payment, and non-payment thereof shall likewise further subject the employer to a penalty of three percent (3%) per month of the amounts payable from the date the loan amortizations or payments fall due until paid.*

6. Lastly, Section 11 of RA No. 10606 or the National Health Insurance Act of 2013, as amended, states that:

Remittance of premium contribution shall be mandatory for all members. It shall be made to PhilHealth offices or to any of the accredited collecting agents. Failure to timely remit the appropriate premium contribution shall be subject to

interest and penalties as prescribed by the Corporation without prejudice to other applicable penalties herein provided.

7. Analysis of the inter-agency payable accounts shows that balances of Due to the BIR, GSIS, Pag-IBIG, and PhilHealth remained unremitted as of year-end, with the details presented below:

Fund		Account				Total
		Due to BIR	Due to GSIS	Due to Pag-IBIG	Due to PhilHealth	
	Balance as at December 31, 2025	18,901,350.29	271,921.25	181,222.75	40,768.43	
1. LFP	Payments after year-end	15,443,091.33	172,513.90	102,401.32	17,595.65	
	Unremitted	3,458,258.96	99,407.35	78,821.43	23,172.78	3,659,660.52
	Overremittance					0.00
	Balance as at December 31, 2025	1,190,149.90	74,635.59	15,118.52	53,241.13	
2. CARP	Payments after year-end	280,458.24	37,428.71	9,867.77	8,669.35	
	Unremitted	909,691.66	37,206.88	5,250.75	44,571.78	996,721.07
	Overremittance					0.00
	Balance as at December 31, 2025	1,103,014.71	2,850,653.19	217,829.20	262,113.99	
3. COB	Payments after year-end	547,386.47	1,913,476.64	194,353.17	170,993.20	
	Unremitted	555,628.24	937,176.55	23,476.03	91,120.79	1,607,401.61
	Overremittance					0.00
	Balance as at December 31, 2025	3,097.25	0.00	0.00	0.00	
4. FSSP	Payments after year-end	0.00	0.00	0.00	0.00	
	Unremitted	3,097.25	0.00	0.00	0.00	3,097.25
	Overremittance					0.00
	Total Unremitted	4,926,676.11	1,073,790.78	107,548.21	158,865.35	6,266,880.45
	Total Overremittance	0.00	0.00	0.00	0.00	0.00

- As of the reporting period, a total of ₱6,266,880.45 remains unremitted, covering obligations under LFP, CARP, COB, and FSSP payable to the BIR, GSIS, Pag-IBIG, and PhilHealth.
- Breakdown by Fund
 - LFP: The largest unremitted balance amounts to ₱3,659,660.52, primarily payable to the BIR (₱3,458,258.96), with the remaining

obligations due to GSIS (₱99,407.35), Pag-IBIG (₱78,821.43), and PhilHealth (₱23,172.78).

- COB: The second highest balance totals ₱1,607,401.61, largely attributable to GSIS (₱937,176.55), followed by the BIR (₱555,628.24), PhilHealth (₱91,120.79), and Pag-IBIG (₱23,476.03).
 - CARP: The total unremitted balance stands at ₱996,721.07, predominantly due to the BIR (₱909,691.66), with smaller amounts owed to PhilHealth (₱44,571.78), GSIS (₱37,206.88), and Pag-IBIG (₱5,250.75).
 - FSSP: The smallest balance of ₱3,097.25 is entirely payable to the BIR.
- In total, the outstanding remittances amount to ₱4,926,676.11 for the BIR, ₱1,073,790.78 for GSIS, ₱158,865.35 for PhilHealth, and ₱107,548.21 for Pag-IBIG.
 - Across all funds and agencies, no over-remittances were recorded.

8. Comparison of the current and prior year's unremitted balances will reveal that except for the Due to GSIS account which showed a decrease of ₱3,056.73, all other Due to accounts showed an increase, most concerning of which is the Due to BIR which showed a 827% increase or growth of more than seven times (8x) its balance at the end of CY 2024.

Due to	CY 2025	CY 2024	Increase/ (Decrease)
BIR	4,926,676.11	531,514.71	4,395,161.40
GSIS	1,073,790.78	1,076,847.51	(3,056.73)
Pag-IBIG	107,548.21	91,133.44	16,414.77
PhilHealth	158,865.35	107,906.41	50,958.94

9. Further, breakdown¹ of the unremitted balance of ₱4,926,676.11 shows that 23% of these amounts, or ₱1,153,286.90, pertain to the prior year, while the remaining 77%, or ₱3,773,389.21, pertain to the current year. This breakdown contradicts the reported unremitted amount of ₱531,514.71 at the end of CY December 2024 after deducting the payments made in January 2026.
10. Ideally, the ending balance of the subject accounts should only reflect the amounts deducted or withheld in December, 2025, which are due for remittance in January of the following year. The presence of unaccounted differences, after making remittances of the current year's deductions or withholding, creates a belief that something was amiss in prior years' reporting.

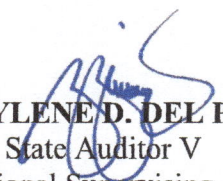
¹ Provided by the Regional Office Accounting Unit.

11. ***We recommend that the Accountant and concerned staff of NIA RO V and component IMOs:***

- a. trace and analyse the details of the amounts of under remittance and over remittance and cause the remittance thereof to concerned agencies, if warranted;***
- b. henceforth, ensure proper monitoring of remittances of statutory obligations to avoid similar deficiencies; and***
- c. submit a detailed list/ breakdown of unremitted accounts at the end of each calendar year (after payments made in January of the succeeding year) for monitoring and reference purposes.***

May we have your comments on the foregoing audit observations within fifteen (15) calendar days from receipt hereof.


Atty. ABIGAIL T. REYES
Attorney IV
Audit Team Leader


MYLENE D. DEL PILAR
State Auditor V
Regional Supervising Auditor

Proof of Receipt of AOM No. NIA-ROV.CS.CN.IMO-2026-05(2025):

Name	Date	Signature